

HOMEOWNER INSURANCE

RULE MANUAL

VERSION 1.0

PEMCO

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1. Eligibility

A PEMCO Homeowner policy may be issued:

- For dwellings and premises that are well maintained and structurally sound
- For risks without unusual exposures such as dangerous animals, unfenced swimming pools and trampolines, commercial and uncommon liability exposures

In addition, the following conditions must be met:

- Dwelling is owner-occupied residence
- Dwelling has smoke detector, deadbolt locks and fire extinguisher

2. Policy Coverage

Coverage Requirements	
	Homeowner
	HO 9
Coverage A (minimum required)	\$85,000
Coverage B (minimum required)	No minimum
Coverage C (minimum required)	30% of Coverage A
Coverage D	24 Months
Coverage E	\$100,000 to \$500,000 in \$100,000 increments
Coverage F	\$1,000 to \$5,000 in \$1,000 increments
Available Deductibles	\$500 -- \$750 -- \$1,000 -- \$1,500 -- \$2,500 -- \$5,000
Special Limits	
Jewelry loss by theft	\$2,500 per item, \$5,000 per occurrence
Business Property on Premises	\$5,000
Business Property off Premises	\$1,000
Watercraft	\$1,500
Trailers	\$1,500
Securities	\$1,500
Rare coins or currency, medals, stamps, trading cards, comic books and magazines	\$3,000
Firearms, including related equipment and accessories	\$2,500
Loss by theft of silverware, silver- plated ware, goldware, gold- plated ware and pewterware. This includes flatware, hollowware, tea sets, trays and trophies made	\$7,500
Additional Coverages	
Credit Card	\$1,000
Tree Removal	\$2,000
Replacement Cost Contents	Not included
Personal Injury	Included
Extended Replacement Shield	Included up to 125%
Special Personal Property Coverage (open peril)	Included
Optional Coverages	
Replacement Cost Contents	NA
Personal Injury	NA
Extended Replacement Shield	PM 19 - 150%
* 10% for 1-2 family dwellings; 5% for 3-4 family dwellings	

3. Policy Period

The policy period is one year.

4. Rating Variables

Property Zip Code Factor

The insured location zip code will be used for rating.

Protection Class Factor

A protection class is obtained from the Washington Surveying and Rating Bureau (WSRB) based upon the effective date of the policy and will be used to rate the policy until the policy term expiration date. For subsequent renewals, a new protection class is obtained based upon the effective date of the renewal policy and will be used to rate the policy until the policy term expiration date.

Construction Type Factor

Factors are selected based on the construction material. To be considered superior construction, the exterior walls, floors and roof must be constructed of masonry noncombustible material such as concrete, stone, tile, brick or gypsum block.

Ordinance or Law Factor

PM-277 increases the amount of coverage provided in the policy for ordinance or law. It extends coverage when a loss has occurred by "Perils Insured Against" to include the cost of construction, repairs, or demolition of covered property when it is regulated by ordinance or law. This does not cover loss in value or any ordinance or law which requires testing, monitoring, clean-up, removal, or any response to pollutants. 10% is included in the contract and an additional 40% may be bound if the dwelling meets the following guidelines. In all other cases, underwriting approval is required. The maximum increase is 115% for a total amount equal to 125% of Coverage A.

1. Dwelling is built after 1960.
2. Foundation is continuous concrete (not block).
3. Dwelling is not located on a waterfront.
4. No streams, creeks, or rivers on the property.

Extended Replacement Shield

PM19 extends coverage up to a maximum 150% of the Coverage A and/or B limit when the cost to repair or replace the building exceeds the coverage limit shown on the policy Declarations.

Underwriting Guidelines:

1. Coverage may not be bound on homes built prior to 1930. The original year of construction must be used to determine eligibility.
2. Coverages A and B must be equal to 100% the estimated replacement cost for the home and/or other structure when this endorsement is added.
3. An updated RCT valuator is required to add the PM19.

Protection Device Factor

For each Protection Device type, if multiple devices are selected, only the greatest discount for that type will be applied. All credited devices must be in working order and properly maintained.

A building is considered “secure” if there is a locked common entry door before gaining access to the locked unit door. A building is considered “monitored” if it’s monitored by guards (or a doorman) 24 hours a day.

Sprinkler Factor

To qualify for the full discount, automatic sprinklers must be in all areas including attic, bathrooms, closet, and attached structures. If not, apply the partial automatic sprinkler discount.

Dwelling Age Factor

To determine the home’s age, subtract the year in which the home was originally constructed from the current policy period year.

Renovated homes may qualify for a revised year of construction in some cases. Renovated homes must meet the following guidelines to qualify:

- Homes must be taken down to the studs and rebuilt.
- Total replacement of roof, gutters, downspouts, plumbing, electrical wiring and heating/cooling systems.
- Documentation is required.

Claims History

A chargeable claim is any claim with date of loss within 3 years of the policy effective date for which a payment of \$1.00 or greater has been made.

Open claims without payment, claims closed without payment, and claims for which subrogation received results in a \$0 "Net Paid" claim are not chargeable. Claims consisting of only legal expenses are considered not chargeable.

Claims that occurred under a Named Insured's, Additional Named Insured's and Other Household Member's (HO 04 58) prior Homeowners, Renters, Condominium, or Mobilehome insurance policy with PEMCO or another carrier will be used in determining the total number of chargeable claims. For renewal business, claims will be evaluated as of 47 days prior to the policy effective date. Claims occurring between this date and the policy effective date will not be considered until the next renewal. The chargeable claim count is only modified at the next applicable policy renewal date.

The following rules concerning claims history apply in the case of secondary residences:

- In the case where primary and secondary residences are written as new business at the same time, all existing losses will be associated with the primary policy.
- In the case where a secondary residence is written as new business and an existing primary residence is already insured with PEMCO:
 - Any losses associated with the primary policy will not be chargeable on the secondary policy.
 - Any losses associated with the secondary residence that are not associated with the primary policy will be chargeable on the secondary policy.
- At renewal, chargeable claims will impact the claims history factor of the policy with which the loss is associated.

A factor will be applied to each peril based on the number of losses caused by each peril. A total number of losses factor will be applied to all perils based on the total number of chargeable claims.

The following are claims associated to each peril:

Peril	Claim Type
Fire	Fire, explosion, smoke
Liability	Any type of liability
Other	All other claims, including mysterious disappearance and vandalism.
Theft	Theft (on and off premises) including business and scheduled property, identity theft restoration
Water	Water (including freezing water), water backup/overflow, mold, appliance related water, accidental discharge/leakage
Weather	Wind/windstorm, hail, lightening, weather related water

Insurance Score Factor

PEMCO's Credit Based Insurance Score (CBIS) discount is based upon the FICO® Insurance Score (formerly InScore® 3.0) WA HO3/5 0902 scoring model.

In a multi-person household, we will use the CBIS of the first named insured listed on the policy for rating. A mid-term named insured change will not trigger a CBIS re-order.

- CBIS will be ordered for each new business policy.
- CBIS can be ordered once per policy term at the customers' request
- The new CBIS will apply to the customers rating at the next renewal.

Effective January 1, 2017, we will update each policyholder's CBIS at least every three years. At each policy renewal, we will use the policyholder's most recent CBIS on file to rate their policy as long as it is less than three years old. If the most recent CBIS on file is more than three years old, a new one will be ordered.

Since PEMCO uses the FICO® Insurance Score (formerly InScore® 3.0) WA HO3/5 0902 scoring model across all lines that use insurance scores in rating, the most recent CBIS on file may have been ordered for a different line of business.

Customers not receiving the highest possible insurance score discount will receive a regulatory disclosure notice from PEMCO that adverse action occurred relative to the use of information in their credit history report. The notice will advise them of their legal right to receive a free copy of their report within 60 days because of the adverse action, and of their right to dispute the accuracy or completeness of the content of their report with the consumer reporting agency that provided it. The notice will include the name, address, and toll-free number of the consumer reporting agency along with a statement that the consumer reporting agency did not make the adverse decision. If a consumer's report contains incorrect or incomplete information and is later corrected, PEMCO will reorder and apply the new CBIS when notified of the CBIS correction.

Customers who can't be scored due to a minimal or non-existent credit history are placed in the "no hit, no score" class. "No hit" means the consumer reporting agency can't find a file for the customer. A "no score" will result from a file that doesn't contain enough information to complete a score.

Policyholder Average Age Factor

The average age of the named insured(s) and additional named insured(s) associated with each policy as of the policy effective date will be considered in rating. Any amendment to add additional insured(s) will use amendment effective date to calculate the additional named insured's age for the current term and policy effective date on subsequent renewals.

Residence Use Factor

How the residence is used will be considered in rating. Examples include Primary or Secondary.

Home Plus Auto Factor

A rating discount applies to policies with a corresponding in-force Auto Policy through PEMCO Mutual Insurance Company. The discount will be removed mid-term if the corresponding Auto Policy has been cancelled at the customer's request, including policies canceled for non-payment of premium.

Home Plus Umbrella Factor

A rating discount applies to policies with a corresponding in-force Umbrella Policy through PEMCO Mutual Insurance Company. The discount will be removed mid-term if the corresponding Umbrella Policy has been cancelled at the customer's request, including policies canceled for non-payment of premium.

Town/Rowhouse Factor

A townhouse or rowhouse is defined as a row of one to multiple family dwelling units with each unit being owner-occupied and having exterior exits. The units share common walls and may be arranged in either a row or group.

Number of Families Factor

The number of units in the building will be considered for rating. For a townhouse/rowhouse dwelling type, the total number of attached units including the insured unit will be used.

Educator Factor

A policy qualifies for the Educator Discount if the occupation of the Named Insured or Additional Named Insured is any of the following:

Qualifying Role	Educator Group Mapping
Presidents, Chancellors, Deans, Associate Deans, Program Directors, Athletic Directors, Professors, Instructors, Adjunct Professors, Counselors, Lecturers	Higher Education Certificated
Secretaries, Librarians, Technology Services, Security, Maintenance and Grounds, Custodians, Dining Services, Admissions Office, Grants Office, Coaches, Student Recruitment, Human Resources/Benefits/Payroll, Business and Finance Offices, Marketing/Communications, Foundation Office, Alumni Office, Employees of Teaching Hospitals that are Affiliated with a University	Higher Education Classified
Superintendents, Assistant Superintendents, Executive Director of Schools, Principals, Assistant Principals, Deans, Head of Schools, Headmasters, Educational Service District (ESD) Employees, OSPI (Office of the Superintendent of Public Instruction) Employees, ODE (Oregon Department of Education) Employees, Teachers, Substitute Teachers, Student Teachers, Counselors, Librarians, Central/District Office Employees (Executive Directors, Directors, Coordinators, Supervisors)	K-12 Certificated
Secretaries, Administrative Assistants, Athletic Directors, Coaches, Transportation, Security, Maintenance/Grounds, Custodians, Para-educators (or Teacher Aides), Technology, Food Services, School Nurses (sometimes are certificated or ESD Employees), Central/District Office Employees (Human Resources/Benefits/Payroll, Marketing/Communications, School Foundations), Contracted Employees Performing a School Service (Transportation, Food Services, Custodians, Maintenance and Operations)	K-12 Classified

Retired qualifying occupations will also receive the discount.

Employee/Board of Directors Factor

An employee discount will be applied if the named insured or additional named insured is a current employee or board member of PEMCO Mutual Insurance Company. The discount will be removed as of the first renewal date after employment or board membership has ended.

Coverage A x Deductible Factor

Determine the total limit for Coverage A based on the estimated replacement cost. The factor applied is a combination of the Coverage A limit and the selected deductible. The minimum deductible for new and renewal business is \$500.

Coverage B Factor

Determine the total limit for Coverage B. If the Coverage B limit is more than 10% of the Coverage A limit of liability, increase Coverage B using the HO 04 48 Other Structures endorsement for the amount over 10% of the Coverage A. The total amount of Coverage B will be calculated as a percent of Coverage A, with an applicable rating factor applied based on that percentage amount.

Coverage C Factor

Determine the total limit for Coverage C. The total amount of Coverage C will be calculated as a percent of Coverage A, with an applicable rating factor applied based on that percentage amount.

Premium Mitigation

Existing policies renewing into this new program may experience sizeable premium increases or decreases. Due to major revisions to PEMCO's Homeowner rating plan, and in accordance with WAC 284-24-130, the following premium mitigation plan will be followed:

Upon renewal into the new rating plan for policies effective on or after May 13, 2020 that receive an increase greater than 13% or a decrease less than -10%, the premium change will be mitigated through a premium adjustment factor. The total premium excluding endorsement premium will not receive greater than a 13% increase or less than a -10% decrease.

The following steps will be followed to ensure the policy premium is mitigated appropriately:

Step 1: Update the policy with most current renewal rating characteristics discovered and/or revised during renewal processing.

Step 2: Rate the policy on the current rate plan using the updated rating characteristics from Step 1. This will determine the premium that will be used as the basis for premium comparison and mitigation calculation.

Step 3: Rate the policy on the new rating plan using the rating characteristics from Step 1. This will determine the actual (unmitigated) renewal premium that will be used for mitigation comparison.

Step 4: Compare the All Peril Premium from Step 3 and the Property Base Premium + Coverage E premium + Coverage F premium from Step 2 to determine whether premium mitigation should apply. If mitigation should apply, we will use a premium adjustment factor to ensure the increase or decrease is within the bounds.

Example:

Step 2 Premium = \$900 [Property Base Premium] + \$32 [Coverage E Premium] + \$2 [Coverage F Premium]

Step 3 Premium = \$1,100 [All Peril Premium]

Step 4 Calculation = $(\$1,100 - \$934) / (\$934) = 18\%$ increase

Premium Adjustment Factor = $1 + ((\$934 * 1.13) - \$1100) / (\$1100) = .95947$

The minimum premium condition is satisfied after the premium adjustment factor is applied. As a result, some customers will not realize the full impact of premium mitigation and may not be within the mitigation range.

Subsequent renewals will move the premium to the appropriate amount following similar steps and comparisons with the following considerations.

- 1) Once a policy premium change (increase or decrease) is no longer outside the bounds, the mitigation will be removed, and the policy will not be reevaluated for mitigation at future renewals.
- 2) Upon the fourth renewal transitioning into the new program, the unmitigated premium will apply.

A policy will be mitigated for no more than three (3) renewals.

5. Premium Endorsements

Endorsement Group 1

Additional Residence Occupied by Insured (HARI)

HARI (Homeowner Additional Residence Insured) is PEMCO's means of extending liability Coverages E & F from the primary residence to a property with an improvement, which is not otherwise covered under the homeowner's policy. HARI is not applied to rental properties.

HO 04 12 HO9 Increased Limits on Business Property

Increases coverage for business property located on the residence premises and increases the coverage for business property away from the residence premises to 10% of the new limit of liability. It does not cover business property in storage or held as a sample or for sale or delivery after sale. Coverage is also excluded for business property pertaining to a business conducted on the residence premises.* Underwriting approval is required.

*See HO 04 42 Permitted incidental Occupancies for additional business coverages.

HO 04 35 HO9 Loss Assessment Coverage

Loss Assessment Coverage is included in all policy forms (\$1000 limit) and protects the policyholder against the assessment for damages resulting from a property loss or liability claim that is not covered by a master policy. Coverage may be increased with this endorsement up to \$50,000. Unit-Owners coverage for a deductible in the master policy is limited to \$1,000. This endorsement doesn't apply to damage arising from earthquakes.

HO 04 40 Structures Rented to Others Residence Premises

HO 04 40 covers other structures on the residence premises rented to any person, other than the insured, for use as that person's residence. Only structures used as private residences are eligible. Commercial exposures are ineligible. PEMCO maintains a record of the type of structure insured (i.e. guest house).

HO 04 50 Increased Limit on Personal Property in Other Residences

The base contract extends 10% of Coverage C (Personal Property) to an insured residence that is not the primary residence. This endorsement increases Personal Property over the 10% limitation.

HO 04 53 HO9 Credit Card, Fund Transfer Card, Forgery and Counterfeit Money Coverage Increased Limit

HO 04 53 provides increased coverage for credit cards, fund transfer cards, forgery, and counterfeit money.

HO 04 92 HO9 Specific Structures Away from the Residence Premises

This endorsement is used to add property coverage in Section I. Coverage is afforded on an actual cash value basis. Section II does not provide coverage. Underwriting approval is required. The following are ineligible:

1. Structures used as or capable of being used as a dwelling
2. Structures used in business
3. Structures rented to others

The following supplemental information is required:

1. Year built
2. Address
3. Description of structure
4. Use
5. Who inspects the property
6. How frequently the Insured inspects the property
7. Is the property posted (e.g., "Private Property," "No Trespassing.")?
8. Valuator is required
9. Include photos of the structure

HO 24 70 Additional Residence Rented to Others 1,2,3 or 4 Families

This coverage is no longer available to be added to new or existing business.

HO 24 70 extends Section II, Personal Liability (Coverage E) and Medical Payments to Others (Coverage F), to premises owned by the Insured.

HO 24 71 Business Pursuits

Coverage is provided for liability of the insured arising out of business activities. This endorsement does not apply to a business owned or financially controlled by the insured, or a business in which the insured is a partner or a member.

Underwriting approval is required for classes A, B, and G below. The following supplemental information is required: name of the Person covered, business pursuit, description of the business and employment classification.

Employment Classifications

- A. Clerical office employees
- B. Salesmen, collectors, or messengers—including installations, demonstrations, or service operations
- C. Teachers—athletic, laboratory, manual training, physical training, and swimming instruction, excluding corporal punishment liability
- D. Teacher—not otherwise classified, excluding corporal punishment liability
- E. Teachers—athletic, laboratory, manual training, physical training, and swimming instruction, including corporal punishment liability
- F. Teachers—not otherwise classified, including corporal punishment liability
- G. Salesmen, collectors, or messengers—excluding installations, demonstrations, or service operations

Classifications E and F do not have medical coverage.

HO 24 72 HO9 Incidental Farming Personal Liability

This endorsement provides Section II coverage for damage arising out of incidental farming activities on the residence premises or away from the residence premises. Underwriting approval is required. The following supplemental information is required:

1. Type of farming or ranching
2. Size of farm (acreage)
3. Insured's principal occupation
4. Estimated income derived from farming activities
5. Number and type of all animals
6. Complete information on all outbuildings, see HO 04 48
7. Number of employees
8. Do employees live on premises?
9. Do customers come on premises or sales occur on premises?
10. Type and value of farm equipment (replacement cost)
11. Any plans for expansion? When and to what extent?
12. Farm location, away or on residence premises
13. Farm address
14. Farming operation

PM-32 HO9 Water Back Up and Sump Overflow

This endorsement covers direct physical loss cause by water which backs up through sewers or drains; or water which overflows from a sump even if such overflow results from the mechanical breakdown of the sump pump.

PM-42 Permitted Incidental Occupancies, Residence Premises

PM 42 extends Sections I and II of the policy when the Insured has an incidental business in the dwelling or in a separate structure on the premises. Some examples may include an office, small private school, or studio.

"Office only" businesses such as telecommuting can be bound by an Agent. If customers come onto the premises or the type of business poses an increased theft or liability risk, underwriting approval is required.

Business on Premises additional information is required.

1. Name of business
2. Describe the business
3. Business web address
4. Location of business
5. Business signs on property
6. Number of employees
7. Describe job duties
8. Describe employees work out of insured home or property
9. Number of customers, clients or students per week on premises
10. Value of business equipment
11. Description of business equipment and supplies
12. Plans for expansion
13. Insurance Co., policy number and type of coverage of other business insurance
14. Auto insured with PEMCO
15. Business use of the vehicle and indicate which vehicle is used

PM-97 Home Day Care Coverage Endorsement

This coverage is no longer available to be added to new or existing business.

This endorsement removes limitations for a day care business under Section I. Limited Section II coverage applies.

Coverage is available if the following criteria are met:

1. Six children total or less in the day care (including the Insured's children of day care age)
2. No advertising on premises
3. No employees

Day Care on Premises additional information is required:

1. Type of care provided
2. Name of business
3. Business web address
4. Location of business
5. Number of customers, clients, or students on premises per week
6. Value of equipment
7. Describe business equipment and supplies
8. Estimated gross annual income derived from business
9. Plans for expansion
10. Provide Insurance Co, name, policy number and type of coverage of other business insurance.
11. Auto insured with PEMCO
12. Describe any business use of the vehicles and which vehicles

If the day care is located in an Other Structure on the residence premises, the following supplemental information is required: description of the structure, completed valuation to establish the estimated replacement cost.

PM-211 HO9 Coverage C – Increased Special Limits of Liability

This endorsement allows the Insured to increase coverage on certain items of personal property.

Endorsement Group 2

PM 04 61 HO9 Scheduled Personal Property Endorsement

The Scheduled Personal Property Endorsement provides protection on specific items of personal property that may not be adequately insured under the basic policy contract. The PM 04 61 is not subject to a deductible. Fine Arts are settled at stated value.

Scheduling Guidelines:

1. Complete descriptions are required for all items.
2. An appraisal is required for any item exceeding \$10,000 in value.
3. Appraisal must be completed within five years.
4. Appraisal must be completed in the United States.
5. Appraisal must be on company letterhead signed by the appraiser.
6. Appraisal must be in the Insured name.
7. Items valued under \$10,000 do not require an appraisal but are encouraged if available.
8. Single items exceeding \$25,000 in value require underwriting approval.
9. The total of all scheduled items should not exceed 50% of Coverage C.
10. The overall profile of the risk should support scheduled personal property amounts.
11. A central burglar alarm system is required when the total of all scheduled personal property exceeds \$50,000.
12. Underwriting approval is required for Fine Arts coverage over \$50,000.

Items eligible for coverage include:

- **Bicycles:** Individually owned bicycles, which are not motorized, and their accessories (such as kid carriers, trailers). Types of bicycles would include recumbence and tandems.
- **Cameras:** Cameras and related equipment not used in business. Also included in this category are: projection machines, sound equipment, films, telescopes, binoculars, microscopes.
- **China / Crystal:** China and Crystal that is used in entertaining (non-professional), examples such as China place settings including serving pieces, crystal stemware and crystal serving pieces.

- **Coins:** Including rare coins, medals, bank notes, tokens of money and numismatic property, including coin albums, containers, frames, cards, and display cabinets in use with such collections.
- **Collectibles:** Including items such as dolls, figurines, plates, bells, villages, trains, comic books, trading cards, and other like items (excluding coins, fine arts, and stamps).
- **Fine Arts:** Including paintings, etching, rare books, sculpture, antique furniture, tapestries, bric-a-brac of historical value, and art glass.
- **Furs:** Including fur, garments trimmed with fur or made principally of fur, imitation fur and fur rugs.
- **Golf Equipment:** Including golf clubs, bags, golf clothing and other golfing equipment.
- **Guns:** Including handguns, shotguns and rifles, accessories and equipment, gun cases, holsters, telescopic sights and repairing tools, gun racks, gun cabinets and hunting equipment, shell casings, scales and reloading tools, powder horns, and bullet molds.
- **Jewelry:** Including watches. Silverware, plated ware and pewterware are not considered to be jewelry.
- **Musical Instruments:** Covers musical instruments not used professionally, including sheet music and other equipment.
- **Silverware/Goldware/Pewterware:** Including flatware, hollowware, tea sets, trays and trophies made of or including Silver, Gold, and Pewter.
- **Other Sports Equipment:** Including bowling balls, archery paraphernalia, tennis rackets, fishing equipment, ski equipment for snow or water, canoe or kayaks. Excludes bicycles, golf equipment and guns.
- **Stamps:** Including due, envelope, official, revenue, match and medicine stamps, covers, locals, reprints, essays, proofs and other philatelic property including the books, pages and mountings.

Items Ineligible for coverage:

- Any article in damaged condition
- Jewels with cracks or chips
- Loose stones
- Collections of frequently traded items such as baseball cards and magazines (this does not apply to stamp and coin collections)
- Electronic devices (this does not apply to items such as camcorders, certain electronic musical instruments i.e. keyboards, electronic harps, or horns that are not used professionally)
- Windsurfing equipment
- Oriental and Persian rugs used as floor coverings
- Silver and gold bars
- Items used for professional or commercial purposes

PM 29 Theft of Building Materials Coverage

This endorsement extends theft coverage in and to a building under construction and to the building materials and supplies for use in that construction. PM-29 is available to new construction homes. Existing homes undergoing renovations are not eligible for PM-29.

Requests to add for less than one year are not prorated. Requests to extend coverage for a second policy term require underwriting approval.

HO 24 75 HO9 Watercraft

HO 24 75 provides Section II, Personal Liability (Coverage E) and Medical Payments to Others (Coverage F) coverage arising out of the ownership, maintenance, use, loading, and unloading of watercraft.

Liability coverage for the following watercraft is included in the base HO contract:

1. Non-sailboats less than 26 horsepower
2. Sailboats less than 26 feet

HO 24 75 is not available in the following circumstances:

1. Non-sailboats greater than 26 feet
2. Non-owned watercraft
3. Named Insureds without a supporting PEMCO Auto policy Underwriting approval is required in the following cases:
 1. Boats over 15 years of age, other than fiberglass or aluminum construction
 2. Restricted boats
 3. Swamp buggy, airboat, hydroplane, houseboat, riverboat, ultra-light sailboat, or homemade boat
 4. Auto has 34C (excluded driver) on file

HO 46 64 HO9 Snowmobile – Washington

Provides Section II, Personal Liability (Coverage E) and Medical Payments to Others (Coverage F), coverage for the use of a snowmobile. No physical damage coverage is available. Once added, this endorsement must be kept on the policy year-round.

Snowmobiles exceeding 500 cubic centimeters require underwriting approval. The following information is required when HO 46 64 is added:

1. Year, make, model, and size of the motor (cubic centimeters) for the snowmobile being added to the policy
2. Full names, dates of birth, and Washington driver's license numbers of all operators of the snowmobile
3. MVRs must be submitted for all licensed household members and operators of the snowmobile
4. An auto CLUE report for all adult household members is required if no existing PEMCO auto policy

Section II premium is charged separately for each snowmobile.

6. Valuation Guidelines

Coverage A – HO9

A PEMCO Property Valuator is required to determine the estimated replacement cost for Coverage A. Use the RCT tool to calculate the estimated replacement cost. Valuations must meet a required per-square-foot minimum as follows.

King, Pierce, and Snohomish County:	\$125 per sq. ft.
Remainder of State:	\$115 per sq. ft.

Pre-1940 (regardless of county): \$150 per sq. ft.

A new valuator is required for the following:

1. New applications
2. Adding PM-19 Premier Extended Replacement Shield
3. Increasing or decreasing Coverage A. Document the reason for coverage change (i.e., room additions, finished basement)

Coverage B

Calculate the Coverage B estimated replacement cost using the Replacement Cost Guide for Other Structures. Calculate and document the other structures estimated replacement cost in the following circumstances:

1. More than one detached structure exists of the same type, for instance two wood sheds.

Enter one structure in the valuator, calculate the second structure manually.

2. A detached structure located on the residence premises is not described or listed in the PEMCO Property Quote Tool.

Coverage B – Replacement Cost Guide for Other Structures

To keep in line with inflation and current cost to replace other structures, our inspectors and claims department have reassessed the figures we've been using and have updated accordingly. These figures apply to both Eastern and Western Washington.

Detached Frame Garages	Standard \$45-\$55 sq. ft./Custom \$60-\$70 sq. ft.
Carports	Standard \$35-\$40 sq. ft./Custom \$45-\$50 sq. ft.
Prefabricated wood or vinyl sheds/Storage Buildings	\$25-\$30 per square foot
Prefabricated metal sheds/Storage Buildings	\$15-\$20 per square foot
Basic pole building (no interior Walls or storage space)	\$30-\$35 per square foot
Sheds	\$40-\$50 per square foot
Mother-in-Law apartments	\$100 - \$125 per square foot
Mother-in-Law apartments in basements	\$100 - \$125 per square foot
Cottages	Standard \$100 sq. ft./Custom \$135 sq. ft.
Barns	\$50-\$70 per square foot
Docks (Basic)	\$45 - \$50 per square foot
Docks with pilings and decking	\$120 - \$150 per square foot
Decks	\$15-\$25 per sq. ft./treks w/glass \$40-\$45
Playhouses	\$40-\$45+ per square foot
In-ground swimming pools	\$40,000 to \$60,000 (usually 16x30)
Sport Courts	\$6 - \$10 per sq. ft-standard - slab only. \$8 - \$10 per sq. ft- standard - slab with coating \$10 - \$20 per sq. ft-slab with lines, lighting, hoops extra for fencing \$13 - \$18 per sq. ft- for vulcanized, interlocking, mesh rubber system on top of slab
Boat Lifts	\$5,000 small (Jet Ski) \$10,000 large